

The Private Credit Underwriting Framework

How the top direct lenders analyse a borrower, re-underwrite its financials, structure the loan, and decide — reverse-engineered from the published playbooks of the leading firms, rating-agency surveillance, and public investment-committee papers.

Evidence base: Oaktree Capital (strategy primer & Howard Marks memos) · Golub Capital (public pension IC report, Jan 2026) · Blue Owl · Blackstone Credit (BXCI) · Ares Management · Apollo Global (Apollo Academy white papers) · Jefferies Credit Partners · S&P Global EBITDA add-back studies · KBRA middle-market surveillance · Proskauer Private Credit Default Index · Cliffwater Direct Lending Index

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For educational use. All firm-specific figures are from public sources cited in Section 16.

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1 • First Principles: The Arithmetic That Drives Everything

Everything the top private credit firms do — the 3% acceptance rates, the obsession with downside cases, the refusal to lend covenant-lite, the sector pods and workout teams — follows from three pieces of arithmetic that are worth internalising before any framework. If you understand these three, every element of the framework in this document becomes a logical consequence rather than a list to memorise.

1.1 The lender's asymmetry: your upside is capped, your downside is not

A direct lender's best case is defined on day one: par plus the coupon, plus fees. There is no multi-bagger. The worst case is a loss of most of the principal. This asymmetry inverts the investing problem relative to equity: **the equity investor's job is to find winners; the lender's job is to avoid losers**. Blue Owl states this explicitly in its portfolio-construction guidance — position sizes are kept small precisely because "lenders' maximum return is capped at par plus interest."

WORKED EXAMPLE — THE LOSS-AVOIDANCE ARITHMETIC

Consider a \$1,000m direct lending portfolio of 40 equal positions (\$25m each) yielding 10% gross. Annual interest income is \$100m.

Scenario	Defaults	Recovery	Principal loss	% of a year's income consumed
Single default, senior secured recovery	1 of 40	65%	\$8.75m	8.8%
Mild recession vintage	3 of 40	65%	\$26.3m	26%
Bad vintage, weaker docs	5 of 40	50%	\$62.5m	63%
Concentrated book (20 names), same stress	5 of 20	50%	\$125m	125% — a losing year

Two lessons fall out. First, **severity matters as much as frequency**: moving recovery from 65% to 50% turns a survivable vintage into a capital-eroding one — which is why documentation and seniority take up a third of this framework. Second, **granularity is a form of underwriting**: the same default experience destroys a concentrated book and merely dents a granular one. This is why Blue Owl's average position is ~20bps of the platform and its maximum 1–2%.

The same arithmetic explains the industry's headline statistics. The Cliffwater Direct Lending Index — 21,000 loans, \$549bn, reconstructed to 2004 — shows long-run realized credit losses of roughly **1.0% per annum** against gross yields historically in the 9–11% range. The entire business model is: collect a ~10% yield, lose ~1% to credit, keep the spread. Every basis point of that 1% is fought for at underwriting.

1.2 Risk control is the product, not a constraint

Oaktree's direct lending primer opens from the firm's first investment tenet: **the primacy of risk control**. Howard Marks' 2024 private credit memo distils the lender's first principle:

"Lenders derive their eventual security from the performance of the companies they lend to and the margin of safety they receive from being senior in the capital structure."

— Howard Marks, "What's Going On in Private Credit?", Oaktree memo

Note what this sentence excludes: market prices, ratings, sponsor reputation, and the illiquidity of the instrument. Marks is emphatic that the absence of a quoted price does not reduce risk — "risk and volatility aren't the same thing. Direct loans embody no less credit risk than liquid credit instruments." A private loan is a bilateral bet on (i) borrower cash flows and (ii) the cushion of junior capital beneath you. Every stage of the framework tests one of those two.

1.3 The two sources of repayment

Classical credit teaching — and every IC memo at the top firms — organises the analysis around two independent ways of getting the money back:

- **Primary: cash flow.** The borrower services and repays debt from free cash flow it generates. Tested by the coverage and downside analysis (Stages 5 and 7).
- **Secondary: enterprise value.** If cash flow fails, the lender recovers from the value of the business as a whole — usually via a sale or restructuring, rarely via liquidation of hard assets in cash-flow lending. Tested by the leverage/LTV and recovery analysis (Stage 6).

FIRST PRINCIPLE

A loan is approved only when **both** legs stand independently: the company can service the debt in a stressed case *and* the lender is covered by conservative enterprise value if it cannot. One leg is a hope, not an underwrite.

1.4 Why sponsors are on both sides of the table

Roughly 80–90% of institutional direct lending is to private-equity-owned ("sponsor-backed") companies. The sponsor model creates the economics of the market: LBO purchase multiples of 12–16× EBITDA are funded with 50–70% equity, and that equity sits *beneath* the loan. Blackstone describes its book as 95%+ senior secured with weighted-average loan-to-value below 50% — "like a mortgage, but with 60% down." But the sponsor is also the counterparty that negotiates the documents, marks its own EBITDA adjustments, and controls the company when things go wrong. The framework therefore treats the sponsor as **simultaneously a mitigant (equity cushion, operational support, follow-on capital) and a risk (aggressive adjustments, leakage, priming manoeuvres)** — and underwrites both faces.

2 • The Composite Framework at a Glance

Synthesising the published processes of Oaktree, Golub, Blue Owl, Ares, Apollo and Blackstone, the same ten-stage funnel appears everywhere, with different emphases. The rest of this document walks through each stage in depth.

#	Stage	The question being answered	Signature practice at the top firms
1	Sourcing	Do we see enough deals to be picky?	Oaktree closes ~3% of financings reviewed; Golub 2,700 of 30,000 (~9%); 200–280 repeat sponsor relationships
2	Screening	Should this consume analyst time at all?	One-to-two-page screen memo; explicit kill criteria; merits must be data-backed
3	Business diligence	Will revenue exist in a recession?	Blue Owl: recession-resilient sectors, 15% sector caps; Oaktree: sector-specialist underwriting, third-party QoE + own experts
4	EBITDA re-underwrite	What are the real earnings?	Independent EBITDA rebuilt from reported figures; add-backs haircut (S&P: adjustments now ~29% of marketed EBITDA and systematically missed)
5	Cash flow & coverage	Does cash, not EBITDA, cover fixed charges?	FCCR $\geq$ ~1.2 $\times$ at close on lender-adjusted numbers; ICR $\geq$ ~2 $\times$; KBRA median portfolio ICR 1.5 $\times$ is monitored market-wide
6	Leverage & LTV	Are we covered if cash flow fails?	Blackstone WA LTV < 50%; ~60% equity cushions; Oaktree substitutes conservative LTV analysis for naive leverage multiples
7	Downside case	What breaks, and when, and what do we do?	Blue Owl underwrites to "top-line stability and the downside case"; breakeven maths on coverage and covenants
8	Structure & docs	Do the papers protect us when it matters?	Ares: "never underwritten a covenant-lite deal"; maintenance covenants, capped EBITDA definitions, leakage blockers
9	Pricing	Are we paid for the risk and the illiquidity?	Spread + OID + fees built up against loss assumptions and relative value vs. the syndicated market
10	IC decision	Does the deal survive adversarial review?	Staged IC (early look $\rightarrow$ final); majority approval; conditions of approval; separate workout capability (Golub: 18-person team)

HOW TO READ THE FUNNEL

Stages 1–2 create **optionality** (see everything, do almost nothing). Stages 3–7 are the **analysis core** (both repayment legs, stressed). Stages 8–9 **convert analysis into contract and price**. Stage 10 is **governance** — an adversarial test that the first nine were honest. Monitoring and workout (Section 13) then protect the position for its life.

STAGE 1

Sourcing Is Underwriting: Selectivity and Adverse Selection

The least appreciated fact about top-firm credit analysis is that most of it happens *before any analysis is done* — in the construction of the deal funnel. The published numbers are striking:

Firm	Reviewed	Closed	Acceptance	Source
Oaktree (direct lending funds)	All financings considered	—	~3%	Oaktree Direct Lending primer
Golub Capital (since 1994)	30,000	2,700	~9%	NJ State Investment Council IC report, Jan 2026

Selectivity of this order changes what "underwriting" means. If you must deploy capital and see ten deals, you will hold your nose on some. If you see a hundred and need three, every marginal deal can die. Oaktree describes the required posture as "experienced contrarian investors who prioritize downside protection and patience over immediate capital deployment — those who never seek to do a deal 'at any price.'"

3.1 Why origination channels matter more than origination volume

- **Repeat-sponsor relationships.** Oaktree maintains 200+ sponsor relationships; Golub 280+ repeat sponsors. A sponsor who expects to need you for the next five deals does not burn you on this one — repeat business is the market's real enforcement mechanism, stronger than any covenant.
- **Invitation-only processes.** Oaktree explicitly prioritises "invitation-only opportunities from private equity firms" — fewer competing lenders means better pricing, better documents, and crucially **less adverse selection**: broadly-auctioned credits skew toward deals every incumbent lender passed on.
- **Incumbency.** A large back-book generates the best new loans: add-ons and refinancings of borrowers the lender has watched perform for years. The information asymmetry runs in the lender's favour — the opposite of a new-name auction.
- **Sector pods.** Golub organises underwriting into four sector-focused groups aligned to its origination mix (software/tech, healthcare, diversified industrials, consumer/financial services). Sector depth converts diligence from a checklist into pattern recognition — the underwriter has seen forty insurance-brokerage roll-ups before this one.

ADVERSE-SELECTION RED FLAG

Ask of every inbound deal: *why is this being shown to us?* A deal shopped to twenty lenders, or arriving via a placement agent after two incumbent lenders declined the refinancing, carries negative information in its very availability. The best firms treat deal provenance as a formal diligence item.

STAGE 2

Screening: The Kill Discipline

Between the funnel and the deep dive sits the screen — typically a 1–3 page memo produced in days, whose purpose is to **protect analyst time and force early intellectual honesty**. Practitioner templates converge on four blocks:

Screen memo block	Content	Kill triggers (illustrative composite)
Borrower profile	What the company does, scale (revenue/EBITDA), business model, customer base, ownership	EBITDA below platform floor; unproven business model; structurally declining end-market
Deal context	Why capital is needed; who runs the process; competitive dynamics; proposed structure and leverage	Dividend recap of an underperformer; broad auction with hung-deal history; leverage > sector norm before add-back scrutiny
Investment merits	3–5 <i>data-backed</i> reasons this fits the strategy	Merits that are adjectives ("strong management") rather than numbers
Risks & mitigants	Candid downside factors, each paired with a defensible mitigant	Any risk whose only mitigant is "sponsor support" or "market growth"

4.1 Common hard screens at the leading platforms

- **Size floor.** Golub's NJ separate account targets borrowers with \$50–175m EBITDA; Blue Owl's portfolio averages \$200m+ EBITDA, on the logic that "larger businesses tend to be more resilient during challenging economic periods." Small borrowers fail more often and recover less.
- **Sector exclusions.** Deep cyclical, commodity price takers, fashion/fad risk, single-event litigation exposure, structurally declining industries. Blue Owl steers to "recession-resilient industries such as software, healthcare, food and beverage, and insurance brokerage."
- **Sponsor quality.** Track record through a downturn; behaviour in past workouts (did they write equity cheques or play hardball?); depth of operating resources.
- **Structural non-starters.** Ares: "never underwritten a covenant-lite deal." For core middle market, covenant-lite, or a security package with material leakage, is a screen-stage kill, not a negotiating point.

FIRST PRINCIPLE

The screen exists to make "no" cheap. A firm whose analysts need three weeks of work to decline a deal will decline too few. Note the corollary: a good screen memo *documents the declines* — Golub's 30,000-deal database of reviewed credits is itself an underwriting asset (base rates by sector, sponsor behaviour history, pricing memory).

STAGE 3

Business & Industry Diligence: What "Resilient" Means Operationally

Once a deal passes screen, 4–8 weeks of diligence begin, running in parallel with the sponsor's own M&A process. The top firms' distinguishing habit is **independence**: Oaktree "engages its own third-party experts prior to making an investment in addition to fully reviewing the sponsor's diligence analyses" and reviews "all buy-side and sell-side commissioned third-party reports" — the quality-of-earnings (QoE) report, commercial due diligence, legal, tax, insurance and IT reports. The lender free-rides on nothing.

5.1 Revenue quality — the first analytical cut

Every business diligence framework at the top firms is ultimately a decomposition of one question: *how does revenue behave when the economy turns?* The practical taxonomy:

Revenue attribute	What to establish	Benchmarks / evidence sought
Recurrence	Contracted vs. re-occurring vs. transactional revenue mix	% revenue under multi-year contract; software: ARR share; services: retainer share
Retention	Gross and net revenue retention, cohort behaviour	GRR > 90% (software > 95%); NRR > 100%; stability across 3+ cohort years
Concentration	Customer, supplier, contract, geography, channel	Top customer < 10–15% of revenue; top 10 < 40%; renewal calendar not clustered
Criticality	Is the product a cost the customer can defer?	Share of customer's cost base (small = good); switching cost; compliance/mission-critical use
Pricing power	Ability to pass through inflation	Realised price increases in 2021–23 inflation; contract escalators; win/loss data
Cyclical	Actual behaviour in 2008–09, 2020, and the 2022–23 rate shock	Peak-to-trough revenue and EBITDA decline in prior recessions — the single most-cited datapoint in IC memos

5.2 The moat, tested the lender's way

Equity investors ask whether the moat supports growth; lenders ask whether it supports *survival at current pricing for the life of the loan* — a lower bar, differently shaped. Practical tests: market share stability over 10 years; competitor conduct (rational oligopoly vs. share war); technology obsolescence horizon versus loan maturity; regulatory dependency. Marks' 2024 memo is a live case study: direct lending portfolios concentrated 20–30% in software underwritten at 20× EBITDA discovered that AI disruption attacks precisely the "sticky workflow" assumption their revenue-durability case rested on. Oaktree's response was ex ante: a "particularly high bar for participating in new software transactions" and keeping software exposure "substantially less than that of our peers, predominantly first-lien."

5.3 Management and sponsor assessment

- **Management:** track record at this company and prior ones; depth beneath the CEO/CFO; quality of the finance function (can they produce monthly covenant-grade reporting?); alignment (rollover equity vs. cash-out).
- **Sponsor:** Blue Owl conducts diligence "working closely with financial sponsors and/or company management" — but underwrites the sponsor too: fund vintage and dry powder (is there money left to support this company?), history of supporting portfolio companies with fresh equity, past behaviour in restructurings, and reputation data from the lender's own back-book.

WORKED MICRO-EXAMPLE — CONCENTRATION ARITHMETIC

Distributor with \$40m EBITDA, top customer = 22% of revenue at a 28% gross margin vs. 24% for the rest of the book. Loss of the customer removes roughly $\$40m \times (22\% \text{ revenue share weighted at premium margin}) \approx \$11m$ of EBITDA — 27% of the total. At 5.0× leverage (\$200m debt), pro-forma leverage jumps to 6.9× and FCCR falls below 1.0×. **Conclusion: a 22% customer is not a "risk factor" to list; it is the credit.** Either the contract is diligenced to near-certainty (tenor, exclusivity, termination-for-convenience clauses, relationship history) or leverage must be set as if the customer were already partly gone.

STAGE 4

Re-underwriting EBITDA: The Add-back Forensics

The single most consequential analytical act in private credit is refusing to accept the seller's EBITDA. Every leverage statistic, covenant level, and coverage ratio in the deal is a fraction whose denominator is EBITDA — corrupt the denominator and the entire underwrite is fiction. The market data here is damning and every serious IC knows it:

- S&P Global's multi-year add-back studies of 700+ M&A/LBO deals found **adjustments now represent ~29% of marketed EBITDA** (vs. ~10% a decade ago).
- Companies **missed their marketed projections systematically**: actual leverage came in a median **2.3× higher than projected after year one and 2.7× after year two**.
- S&P found a **direct correlation between the size of add-backs and subsequent default/downgrade probability**. Add-backs are not noise; they are a negative signal in themselves.
- Oaktree flags the same mechanism: lenders increasingly accept "more generous earnings add-backs that inflate EBITDA, making leverage levels appear artificially low."

Blue Owl describes the antidote as standard practice: the team develops an "independent assessment of a company's EBITDA by eliminating one-time acquisitions, events, or initiatives" that don't generate actual cash — and this lender-adjusted figure, not the marketed one, "determines appropriate leverage levels."

6.1 The add-back taxonomy and standard treatment

Add-back category	Example	Composite lender treatment
True one-offs	Litigation settlement, flood damage, discontinued product wind-down	Accept if genuinely non-recurring, evidenced, and not a third consecutive "one-off" year
Pro-forma for completed actions	Acquisition closed mid-year annualised; signed price increase	Accept with QoE verification of run-rate
Unactioned cost savings	"Identified" procurement savings; planned headcount reduction not yet executed	Haircut 50–100%. Credit only what is contractually locked
Synergies	Revenue synergies from cross-selling; platform integration benefits	Revenue synergies: reject. Cost synergies: partial credit only with a signed plan and a track record on prior deals
Run-rate annualisation	Annualising the latest quarter's ARR or bookings	Partial credit; test seasonality and churn; never annualise a record quarter
Reclassified operating costs	"Growth" marketing, capitalised development, "transformation" costs recurring annually	Reject; often reverse the reclassification (reduce EBITDA below reported)

WORKED EXAMPLE — THE RE-UNDERWRITE AND ITS CONSEQUENCES

Target marketed at \$80m "Adjusted EBITDA": reported LTM EBITDA \$62m plus \$18m of adjustments (22.5% of marketed — below the market median!). Lender review: accept \$3m of genuine one-offs, \$2m of completed-acquisition annualisation, \$1m of locked procurement savings; reject \$7m unactioned cost programme and \$5m revenue synergies. **Underwritten EBITDA: \$68m.**

	On marketed \$80m	On underwritten \$68m
Proposed unitranche \$360m — leverage	4.50×	5.29×
Interest at 9.0% — interest coverage	2.47×	2.10×
Implied LTV at 11× conservative EV multiple	41%	48%

Nothing about the company changed — only the honesty of the denominator. The deal moved from comfortably conservative to the edge of platform limits, *which is exactly where the sponsor's marketing wanted the lender not to look*. The S&P data says the marketed number will be missed more often than met; the underwritten number is the one covenants, pricing, and sizing must be built on.

FIRST PRINCIPLE

EBITDA is a negotiated fiction; cash is a fact. The re-underwritten EBITDA is the bridge between the two — and the definition of "EBITDA" *in the credit agreement* (Stage 8) must match the discipline applied in the underwrite, or the covenants will be tested against the fiction.

STAGE 5

Cash Flow & Coverage: FCCR Is King

Interest coverage (EBITDA ÷ interest) is the ratio that appears in marketing decks; it is *not* the ratio sophisticated lenders underwrite to. Jefferies Credit Partners' practitioner piece "In Direct Lending, Cash Flow (Coverage) Is King" states the objection precisely: ICR relies on "an Adjusted EBITDA figure that does not answer the most critical question for every credit investor: *is this company generating enough free cash flow to service its debt?*" ICR ignores capex, cash taxes, sponsor fees and required amortisation — all real, all senior to the lender's margin of safety.

7.1 The fixed charge coverage ratio

FCCR = (Adjusted EBITDA – Non-cash add-backs – Capex – Cash taxes – Sponsor fees – Other below-the-line cash costs) ÷ (Cash interest + Required amortisation)

The numerator is often labelled **CFADS** (cash flow available for debt service). Market practice: covenant-level minimum FCCR is typically set at **1.00–1.25×**; at underwriting, top firms want the *base case* comfortably above that (≥1.3–1.5×) so the *downside case* still clears ~1.0×

WORKED EXAMPLE — TWIN COMPANIES, IDENTICAL ICR, DIFFERENT CREDITS (AFTER JEFFERIES)

Two software-adjacent businesses, each with \$125m Adjusted EBITDA and \$625m of debt (5.0×) at 9% (\$56.3m interest). Both show ICR = 2.2×. The deal teams' one-pagers are indistinguishable. The cash flow builds are not:

\$m	Company A	Company B
Adjusted EBITDA (marketed)	125.0	125.0
Less: add-backs not converting to cash	(5.0)	(20.0)
Less: capex (2% vs. 7% of revenue)	(8.0)	(28.0)
Less: cash taxes	(14.0)	(9.0)
Less: sponsor management fee	(2.0)	(2.0)
CFADS	96.0	66.0
Fixed charges (interest + 1% amort \$6.3m)	62.6	62.6
FCCR	1.53×	1.05×

Company B is one soft quarter from burning cash, despite a "healthy" 2.2× ICR. The gap came from exactly the two places marketing obscures: add-back quality and capital intensity. This is why Jefferies argues FCCR "makes it more difficult for a company to engineer its way to creditworthiness."

7.2 The market's coverage reality check

KBRA's surveillance of 2,400+ sponsored middle-market borrowers (~\$1trn of private debt) provides the honest market-wide picture: the **median interest coverage ratio is ~1.5×**, and roughly **25% of borrowers run below 1.0×** — i.e., a quarter of the market does not earn its interest and survives on liquidity, PIK conversions and sponsor support. An underwriter should know at all times where a proposed deal sits in that distribution, and price the tail accordingly.

FIRST PRINCIPLE

Debt is serviced with cash, not with adjusted earnings. Every coverage metric in the memo must be computed on the **lender's EBITDA**, **after** capex, cash taxes and sponsor leakage, at **current** (not marketed) interest rates — and again at stressed rates, because the entire asset class floats.

STAGE 6

Leverage, Enterprise Value and the Equity Cushion

The second repayment leg: if cash flow deteriorates, what stands between the loan and loss? Two related measures:

- **Leverage (Debt ÷ underwritten EBITDA)** — the market's shorthand. Middle-market senior norms have ranged 4.5–5.5×; software and other high-retention sectors stretch higher, cyclicals lower. Oaktree cautions that headline multiples "appear artificially low" when the denominator is inflated — leverage is only meaningful on re-underwritten EBITDA.
- **Loan-to-value (Net debt through the tranche ÷ conservative enterprise value)** — the measure Oaktree explicitly prefers: "a loan-to-value approach using what it considers to be conservative assumptions, unlike many lenders who use a simplistic multiples-based approach." Blackstone reports weighted-average LTV below 50%; Blue Owl cites ~60% average equity cushions; Oaktree notes ~59% of US middle-market LBO purchase prices were funded with equity in 2020.

8.1 Validating enterprise value — never at the sponsor's multiple

The purchase price is one data point set at the top of a competitive auction in a given rate environment — the *most optimistic* valuation in the room. The lender's EV must be built independently: public comparables through a cycle (not peak), precedent transactions excluding the current froth, and a DCF on the lender's own downside cash flows. The working rule of thumb in the composite framework: **underwrite EV at 2–4 turns below the purchase multiple, and test recovery at distressed multiples** (typically 40–50% below purchase).

WORKED EXAMPLE — HOW MUCH HAS TO GO WRONG BEFORE THE LOAN IS IMPAIRED

LBO at 14.0× marketed EBITDA of \$80m = \$1,120m EV, funded with a \$360m unitranche (5.3× underwritten EBITDA of \$68m) and ~\$790m of equity (69% of capitalisation). The loan is impaired only when enterprise value falls below \$360m. The joint stress required:

Exit multiple on underwritten EBITDA → EBITDA decline ↓	11.0×	9.0×	7.0×	5.5×
EBITDA \$68m (flat)	2.08×	1.70×	1.32×	1.04×
-15% → \$57.8m	1.77×	1.45×	1.12×	0.88×
-30% → \$47.6m	1.45×	1.19×	0.93×	0.73×
-45% → \$37.4m	1.14×	0.94×	0.73×	0.57×

Cells show $EV \div \text{loan claim}$ of \$360m. Shaded intuition: impairment requires *both* a ~30–45% EBITDA decline *and* multiple compression to distressed levels — while the equity absorbs the first ~\$760m of value destruction. This is the quantitative meaning of "margin of safety from seniority." Note also the converse: at 7×/–30% the cushion is a thin 0.93× — precisely why underwriting at the *purchase* multiple (14×) would be self-deception.

8.2 Attachment, detachment and structural seniority

For non-first-out structures the same analysis is run on **attach/detach points**: a second-lien attaching at 4.5× and detaching at 6.0× is impaired at a much shallower stress than the table above — which is why the top platforms' books are overwhelmingly first lien (Blackstone: 95%+ senior secured; Golub's NJ mandate: "primarily first-out senior secured floating rate loans"). Structural checks: guarantees from all material subsidiaries, share pledges, restrictions on non-guarantor asset transfers (the J.Crew lesson — see Stage 8), and no debt permitted senior or pari at unrestricted entities.

STAGE 7

Constructing the Downside Case

Blue Owl's underwriting is described as "focused on top-line stability and analysing the downside case"; Oaktree's on never doing a deal "at any price." Operationally, the downside case is where those slogans become numbers. The composite practice:

9.1 Anatomy of a lender's downside case

Lever	Typical downside setting (composite)	Calibration source
Revenue	–10% to –25% peak-to-trough over 18–24 months, sector-calibrated	Company's own 2008–09 / 2020 experience; worst cohort in lender's sector back-book
Gross margin	–100 to –300bps (mix shift, pricing pressure, input costs)	QoE margin bridge; historical trough margins
EBITDA add-backs	Zero credit for anything unactioned	S&P: projections missed by 2.3–2.7 turns of leverage
Base rates	+100 to +200bps above forward curve (asset class is floating-rate)	2022–23 experience: coverage ratios halved in 18 months as SOFR rose ~500bps
Working capital	Absorbs cash in the downturn (receivable stretch, inventory build)	Historical WC swings; sector norms
Capex	Maintenance level only — but genuinely maintenance (diligence the split)	QoE / management; asset age
Exit / recovery multiple	40–50% below entry multiple	Distressed transaction comps

9.2 The three questions the downside case must answer numerically

- Coverage breakeven:** at what EBITDA does FCCR hit 1.0×? Express as a % decline from underwritten EBITDA — this is the credit's true shock absorber. (If fixed charges are \$36m and the cash conversion bridge costs \$17.5m, breakeven EBITDA is ~\$53.5m: a 21% decline from \$68m.)
- Liquidity runway:** in the downside case, how many quarters can the borrower fund cash burn from balance-sheet cash plus the undrawn revolver before new money is needed? Under 4–6 quarters of runway at the trough is an approval problem.
- Covenant sequencing:** does the covenant trip *before* liquidity runs out? A covenant that breaches while the company still has 12+ months of runway hands the lender the negotiating table early — which is the covenant's real function (see Stage 8). A covenant that trips after the cash is gone is decorative.

FIRST PRINCIPLE

The downside case is not a pessimistic forecast; it is a **design specification**. Leverage is sized so the downside still covers fixed charges; covenants are set so the downside trips them early; the revolver is sized so the downside is fundable. If the downside case merely gets presented rather than driving those three settings, the underwrite is theatre.

RED FLAG — THE "MILD DOWNSIDE" TELL

A downside case showing revenue -5% and EBITDA recovering within four quarters is a negotiation artefact, not analysis. S&P's add-back studies show the *base* case is missed by two-plus turns of leverage in the median deal. If the presented downside is inside the historical error of the base case, the deal team has not stressed anything — the IC should send it back.

STAGE 8

Structure & Documentation: Covenants, Baskets and Leakage

Documentation is where analysis is converted into enforceable rights — and it is the clearest structural advantage private credit holds over the syndicated market. Apollo's white papers note that private lenders in bilateral negotiation "are typically able to structure more rigorous legal and contractual protections than the deals in the public markets... either a maintenance or incurrence covenant as well as restrictions on payments to equity holders, mandatory amortization, and excess cash flow sweeps," while **95% of new broadly syndicated loans are covenant-lite**. Ares makes the point as identity: "we have never underwritten a covenant-lite deal."

10.1 The covenant architecture

Element	Composite market practice	Function
Financial maintenance covenant	Total net leverage tested quarterly, set with 25–35% EBITDA headroom to the base case, often stepping down over time; sometimes a minimum FCCR / liquidity test alongside	Early-warning tripwire: forces the borrower back to the table while value remains — the option to renegotiate, reprice, or take control before liquidity runs out
EBITDA definition	Add-backs capped (commonly 15–25% of EBITDA), time-limited (12–18 months to realise savings), and QoE-verifiable	Prevents covenant erosion by definitional inflation — an uncapped definition converts a maintenance covenant into covenant-lite by stealth
Negative covenants	Restricted payments, debt incurrence, liens, investments, asset sales — each with negotiated baskets ("builders", "grower" baskets, ratio tests)	Controls leakage of value and collateral out of the credit group
Leakage blockers	"J.Crew blocker" (no material IP transfers to unrestricted subsidiaries); "Serta blocker" (no non-pro-rata uptiering without all-lender consent); "Chewy/Envision" protections (guarantee release limits)	Closes the documented routes by which sponsors have primed or stripped lenders in stressed credits
Cash controls	Excess cash flow sweep (typically 50%, stepping down with deleveraging); mandatory amortisation (often 1%); limits on cash sitting outside the group	Forces deleveraging in good years; the sweep converts EBITDA outperformance into lender safety rather than dividend capacity
Call protection	Non-call 1 then 102/101, or similar	Protects the return profile against immediate refinancing once the company performs
Information rights	Monthly management accounts, quarterly covenant certificates, annual budget, audit; board observer seats in some cases	Monitoring is only as good as the data feed — direct lenders' "better access to management" (Oaktree) is contractual, not social

WORKED EXAMPLE — SETTING THE COVENANT LEVEL

Underwritten EBITDA \$68m; opening net debt \$335m → opening net leverage 4.93×. Base case year-1 EBITDA \$71m. Covenant set at 6.65× net leverage:

- EBITDA at which covenant trips (net debt unchanged): $\$335\text{m} \div 6.65 = \text{\$50.4m}$ — a **26% decline** from underwritten EBITDA (~29% from base case): inside the 25–35% convention.
- Cross-check vs. the downside case: downside trough EBITDA is \$52m — so the covenant trips at the trough of the modelled downside, *while* the liquidity runway (revolver + cash) still stands at ~6 quarters. Sequencing correct: the lender gets the table before the cash is gone.
- If the sponsor pushes for 7.5× instead, tripping requires EBITDA of \$44.7m (–34%) — by then liquidity is nearly exhausted and negotiating leverage has passed to the sponsor. The "one-and-a-half turns of extra headroom" being negotiated is, in substance, the transfer of the workout option from lender to owner.

FIRST PRINCIPLE

A covenant is not a default trigger; it is **an option on early renegotiation**, and its value is entirely in the sequencing — it must trip while (i) enterprise value still covers the loan and (ii) liquidity still funds the business. Price every document concession as the sale of that option, because that is what it is.

STAGE 9

Pricing and the Return Build-up

Pricing in direct lending is a build-up, checked against relative value and expected loss:

All-in yield $\approx$ Base rate (SOFR, floored) + Credit spread + OID amortisation + Upfront/commitment fees (+ call protection value + equity kickers where applicable)

WORKED EXAMPLE — RETURN BUILD-UP ON A \$360M UNITRANCHE

Component	Terms	Annualised yield contribution
Base rate (SOFR, 1.00% floor)	3.75%	3.75%
Credit spread	+525bps	5.25%
OID	98.0, ~3-year expected life	~0.67%
Call protection	NC1, then 102/101 — repaid month 36 at 101	~0.33%
Gross unlevered asset yield		≈10.0%
Less: expected credit loss (PD 2.5% p.a. × LGD 30%)		(0.75%)
Loss-adjusted yield		≈9.25%

Checks: (i) **relative value** — compare to single-B broadly syndicated loans of similar risk; the excess is the origination/illiquidity premium (historically ~150–300bps), which must be positive after loss adjustment; (ii) **loss assumptions vs. market data** — Proskauer's default index ran 1.8–2.7% through 2025–26 and Fitch's resolved private credit defaults in 2025 recovered 70–100% for first lien (6 of 8 at par), so PD 2.5% / LGD 30% is a defensible through-cycle planning assumption for quality first lien, not conservatism; (iii) **fund-level** — Golub's economics (NJ SMA: 0.675% management fee on assets, 10% carry over a 7% hurdle, targeting 8.5–10.5% net IRR) show how a ~10% gross asset yield becomes a high-single-digit net return.

STAGE 10

The Investment Committee: Process, Memo Anatomy, Decision Rights

The IC is the governance layer that keeps stages 1–9 honest. Composite process across the top platforms:

1. **Early look / screen approval** — IC (or a deal-screening subset) sees the 1–3 page screen before material diligence spend; kills are cheap and frequent.
2. **Interim read-out** — for larger deals: diligence findings, revised structure, open items. IC steers ("we'll look at this at 4.75×, not 5.25×" / "resolve the customer-concentration contract question first").
3. **Final IC** — full memo, live Q&A, formal vote. Blue Owl's diversified lending IC requires **majority approval**; some firms require unanimity or give any senior member a veto.
4. **Conditions of approval** — approvals are frequently conditional: pricing floors, leverage caps, specific document terms ("J.Crew blocker non-negotiable"), hold-size limits, or post-close deliverables.

12.1 Anatomy of a top-firm IC memo

Section	Content and standard of proof
1. Transaction summary & recommendation	One page: borrower, sponsor, use of proceeds, structure/pricing grid, key metrics on <i>underwritten</i> EBITDA, the ask, and the deal team's recommendation with conviction level
2. Business description	What the company sells, to whom, why customers stay; revenue quality decomposition (recurrence, retention, concentration)
3. Industry & competitive position	Market structure, cyclical evidence (prior-recession performance), disruption horizon vs. loan tenor
4. Sponsor & management	Sponsor track record incl. workout behaviour; management depth; alignment
5. Historical financials & QoE	3–5 years; EBITDA bridge from reported to underwritten with every add-back dispositioned; working capital and capex history
6. Projections: base & downside	Full model output; FCCR/ICR/leverage/liquidity by quarter; breakeven analysis; covenant sequencing check
7. Enterprise value & recovery	Independent EV triangulation; recovery waterfall at distressed multiples; LTV through the tranche
8. Structure & documentation	Covenant package vs. platform standards; deviations flagged line-by-line ("docs exceptions list")
9. Pricing & relative value	Return build-up, loss-adjusted yield, comparison to current market clears
10. Risks & mitigants	Each material risk quantified and paired with a <i>contractual or structural</i> mitigant — not an adjective
11. ESG assessment	Now standard: Golub's underwriting team "completes tailored templates based on the sponsor's ESG due diligence reports... provided to the Investment Committee"
12. Portfolio fit	Position size vs. limits, sector exposure vs. caps (Blue Owl: 15% max sector, 1–2% max position), vintage concentration
13. Internal risk rating	Initial rating on the firm's scale with rationale — the anchor for lifetime surveillance

12.2 What strong ICs actually interrogate

- **The EBITDA bridge, line by line.** The single most-debated exhibit. "Walk me from reported \$62m to your \$68m."
- **The downside case's honesty.** "Your downside shows –12% revenue. What did this company do in 2009?"
- **Deal-team incentives.** Originators are paid to close; the IC exists to be the counterweight. Some firms formalise devil's-advocate roles or require the sector pod head — not the deal captain — to present the risk section.
- **Precedent discipline.** "Last month we declined a similar credit at 5.0×. Why is 5.3× fine now?" The decline database (Stage 2) is the IC's memory.
- **Capacity to lose.** Portfolio-level: what does this position do to sector concentration, and what is the loss if the thesis is simply wrong?

FIRST PRINCIPLE

The IC's function is not to re-do the analysis; it is to **price the deal team's optimism**. Every structural feature of a good IC — staged looks, decline memory, adversarial presentation, conditions of approval, separation of origination from workout — exists because the people closest to a deal systematically like it too much.

13 · After the Close: Monitoring, Risk Ratings and Workouts

Oaktree: "Successful direct lending requires continuous monitoring of investments. This demands discipline, resources and experience so that problems can be identified and addressed early." The hold is where private credit either earns or forfeits its structural advantages.

13.1 The surveillance machine

- **Cadence.** Monthly management accounts (contractual), quarterly covenant certificates, annual budgets, at least annual full re-underwrites of every name. Portfolio reviews quarterly at IC level.
- **Risk rating scale.** BDC convention is a 1–5 (or 1–4) scale: 1 = performing above plan; 2 = performing to plan (all new loans start here); 3 = watch list — performing below plan, covenant pressure; 4 = substantial risk of loss of return; 5 = expected loss of principal. Migration, not level, is the signal.
- **Early-warning indicators.** Revenue/bookings misses vs. budget; covenant headroom shrinking two consecutive quarters; revolver drawn for operating (not seasonal) needs; management departures (CFO especially); delayed reporting; sponsor declining to fund add-ons; auditor changes or qualified opinions; requests to amend the EBITDA definition.
- **Market-wide surveillance.** KBRA's quarterly Middle Market Borrower Surveillance Compendium (2,416 borrowers, >\$1trn) tracks the distribution: median ICR ~1.5×, ~25% of borrowers below 1.0× ICR, and a "ccc-" bucket for borrowers viable only via ongoing concessions. A portfolio's drift vs. these medians is a management-quality report card.

13.2 The workout capability

Golub maintains an **18-person dedicated workout team** "responsible for managing stressed and impaired credits, including situations in which Golub may take a more active role in restructurings." Oaktree lists restructuring inexperience as a defining failure mode of weak lenders and cites its "institutional knowledge of bankruptcies and restructurings" as central to risk control. The composite playbook when a credit stresses:

1. **Covenant breach → the table.** Waiver/amendment negotiated for economics: fee (25–100bps), spread bump, tighter reporting, sometimes sponsor equity injection as a condition.
2. **Amend-and-extend / PIK toggle.** Maturity pushed, part of the coupon converted to payment-in-kind to preserve liquidity — appropriate when the business is sound but overlevered; a red flag when it merely defers recognition (KBRA's "EBITDA to the Rescue" and "Stress at the Margins" compendia track exactly this behaviour market-wide).
3. **New money / priming.** Fresh capital super-senior to existing debt — with the intercreditor consequences negotiated at *origination* (Serta blockers) rather than discovered in distress.
4. **Restructuring / credit bid.** Debt-for-equity, or acquiring the company through the loan. The first-lien lender's recovery outcomes remain strong when entry LTV was disciplined: Fitch's 2025 resolved private credit defaults recovered par for first lien in 6 of 8 cases, 70–90% in the other two.

13.3 The market's current health check (mid-2026)

Indicator	Reading	Source
Proskauer Private Credit Default Index	1.76% (Q2-25) → 2.46% (Q4-25) → 2.73% (Q1-26)	Proskauer
BSL market default rate (for comparison)	1.23% (2025)	Morningstar LSTA
Borrowers with ICR < 1.0×	~25%	KBRA surveillance
CDLI realized credit losses	0.6–0.75% p.a. recent; ~1.0% long-run	Cliffwater
First-lien recoveries on resolved defaults (2025)	Par in 6/8; 70–90% in 2/8	Fitch PMR portfolio

The pattern to hold in mind: defaults drifting up from a low base, losses still modest because seniority and equity cushions are doing their job — but a quarter of the market not earning its interest is the stock of future workouts. Vintage discipline now determines who owns that tail.

14 · Failure Modes and the Red-Flag Checklist

14.1 Oaktree's six ways direct lenders fail

Oaktree's primer is unusual in cataloguing how *lenders* (not borrowers) fail. Worth keeping verbatim as a manager-selection and self-audit tool:

1. **Sourcing pipeline gaps** — without origination scale there is no selectivity, and without selectivity there is no underwriting.
2. **Fund leverage mismanagement** — "the term of the fund-level leverage is often shorter than that of the underlying assets, which creates leverage refinancing risk."
3. **Inadequate due diligence** — direct lending "requires the type of extensive research normally associated with private equity transactions."
4. **Structuring inexperience** — narrow-mandate firms "lack the creativity and flexibility needed" to solve for risk in the documents.
5. **Insufficient monitoring** — problems compound silently in illiquid books.
6. **Restructuring inexperience** — recovery is a skill; firms without distressed experience under-recover.

14.2 The composite red-flag checklist

Financial

- Add-backs > 20–25% of marketed EBITDA
- Adjusted EBITDA diverging from operating cash flow for 2+ years
- Receivables/inventory growing faster than revenue
- "One-time" costs recurring three years running
- Capitalising costs peers expense (development, commissions)
- FCCR < 1.2× at close on lender numbers
- Coverage dependent on projected, unactioned cost savings
- Negative organic growth masked by acquisitions

Business

- Top customer > 15% of revenue / top 10 > 40%
- No demonstrable prior-recession datapoint
- Technology/AI disruption horizon inside loan tenor

- Roll-up whose EBITDA is mostly pro-forma for deals < 12 months owned
- Key-person dependency without contractual lock-in
- Regulatory or reimbursement dependency with pending change

Transaction & structure

- Broad auction; lender invited late; incumbents passing
- Dividend recap of a flat-to-declining business
- Covenant-lite, or EBITDA definition uncapped
- No J.Crew/Serta protections in 2026 documentation
- Leverage justified only on marketed EBITDA
- Equity cushion < 40% of capitalisation
- Covenant headroom > 35% (tripwire set beyond the liquidity runway)

Sponsor & process

- Sponsor's first deal in the sector, or fund out of dry powder
- History of hardball in workouts (priming, drop-downs)
- Pressure to close inside diligence window ("commitment needed Friday")
- Deal team socialising approval before IC ("pre-selling")
- QoE provider changed mid-process or scope-limited

"Latecomers swallow promises, apply low standards, and push up prices, causing most investment trends to become overdone."

— Howard Marks. The checklist above is, in essence, a machine for noticing when you are the latecomer.

15 · Grand Worked Example — Project Falcon (Approved) and Project Atlas (Declined)

Two composite deals, run through the full framework. All numbers are internally consistent and reproducible with a calculator; the point is to see every stage produce a number that feeds the next.

15.1 Project Falcon — vertical compliance software LBO

Situation. FalconComply provides regulatory-compliance software to mid-size insurance carriers. Sponsor (fund IV, strong track record, two prior software workouts resolved with equity injections) is acquiring it for \$1,120m — 14.0× marketed EBITDA of \$80m. Invitation-only process, three lenders invited; we are incumbent lender to another of the sponsor's portfolio companies. Ask: \$360m unitranche + \$50m undrawn revolver.

Stage 3 — Business quality

- Revenue \$200m; 87% recurring subscription; GRR 94%, NRR 106%; top customer 4%, top ten 21%.
- Compliance spend is non-discretionary — carriers cannot switch it off in a downturn; 2020 revenue grew 3%.
- Disruption check (the Marks test): AI-native competitors could compress seat-based pricing. Mitigants: regulatory content library is the moat (10 years of state-by-state rules), not the interface; management already shipping AI features; tenor 6 years — we underwrite revenue flat, not growing, from year 3.

Stage 4 — EBITDA re-underwrite

EBITDA bridge, \$m	Claimed	Accepted	Disposition
Reported LTM EBITDA	62.0	62.0	QoE-verified
One-time litigation & carve-out costs	4.0	3.0	\$1m is recurring integration spend
Completed acquisition annualisation	2.0	2.0	Closed 8 months ago; run-rate verified
Run-rate ARR annualisation	—	—	Not claimed
Procurement savings (contracted)	2.0	1.0	50% credit — signed but unproven
Headcount programme (announced, unactioned)	5.0	0.0	Rejected
Revenue synergies with sponsor portfolio	5.0	0.0	Rejected on principle
Adjusted EBITDA	80.0	68.0	Underwriting denominator

Stages 5–6 — Coverage and value

Metric (on underwritten \$68m)	Value	Standard
Leverage (net of \$25m cash: \$335m)	4.93× net / 5.29× gross	At platform ceiling for software
Interest: \$360m × 9.0% (SOFR 3.75 + 525)	\$32.4m	—
ICR	2.10×	≥ 2.0× ✓
CFADS: 68 – 7 capex – 9 cash tax – 1.5 sponsor fee	\$50.5m	—
FCCR: 50.5 ÷ (32.4 + 3.6 amort)	1.40×	≥ 1.3× base ✓
Equity cushion: \$790m of \$1,150m capitalisation	69%	≥ 50% ✓
LTV at conservative 11× EV (\$748m)	48%	≤ 50% ✓

Stage 7 — Downside case (revenue -12% by year 2, margin 34%→30%, SOFR +100bps)

\$m	Underwrite	Downside trough (yr 2)
EBITDA	68.0	52.0
Cash interest (coupon 9.0% → 10.0%)	32.4	36.0
CFADS (capex 7.0, cash tax falls to 5.0, fee 1.5)	50.5	38.5
FCCR	1.40×	0.97×
Net leverage (cash burn ~\$15m: net debt \$350m)	4.93×	6.73×
Liquidity: \$50m revolver + remaining cash vs. ~\$3m/qtr burn	—	> 8 quarters runway

- **Coverage breakeven:** FCCR = 1.0× at EBITDA ≈ \$53m (–22% from underwrite). Downside trough sits at the breakeven — survivable, tight.
- **Covenant sequencing:** net leverage covenant at 6.65× trips at trough (6.73× > 6.65×) with 8+ quarters of liquidity remaining. We get the table early. ✓
- **Recovery if it goes further:** distressed EV at 8.5× × \$52m = \$442m vs. claim \$385m (term + drawn revolver) = **115% covered**; at 6.5× = \$338m → 88% recovery. First-lien impairment requires simultaneous –24% EBITDA and a 6.5× distressed multiple — consistent with the Fitch resolved-default experience of 70–100% first-lien recoveries.

Stages 8–10 — Structure, pricing, decision

- **Docs:** net leverage covenant 6.65× stepping to 6.0× in year 3; EBITDA add-backs capped at 20%, 18-month realisation; J.Crew, Serta, Chewy blockers; 50% ECF sweep; 1% amortisation; NC1 then 102/101; monthly reporting.
- **Pricing:** SOFR+525, 1% floor, 98 OID → ~10.0% gross yield; loss-adjusted ~9.3% (Section 11 build-up).
- **IC outcome: APPROVED with conditions** — hold capped at \$175m (syndicate the balance to the SMA/co-invest — note the Golub NJ structure doing exactly this); software sector exposure re-confirmed under the

15% cap; condition that the headcount programme (which we gave no EBITDA credit for) be tracked quarterly — if realised it is pure covenant cushion. Risk rating at close: 2 (performing to plan).

15.2 Project Atlas — HVAC services roll-up (declined at IC)

Situation. Sponsor acquiring a residential-HVAC-services platform built from 22 acquisitions in 34 months. Marketed Adjusted EBITDA \$55m; ask \$275m unitranche (5.0× marketed). Broad process — 14 lenders invited; two incumbent lenders to the sector visibly absent.

Framework stage	Finding	Disposition
Stage 1 — provenance	Wide auction; incumbents passing	Negative signal, proceed with caution
Stage 4 — EBITDA	Reported LTM \$34m; \$21m of adjustments (38% of marketed): \$9m pro-forma for deals owned < 12 months, \$6m "integration synergies" unactioned, \$4m annualised price increases in a softening market, \$2m one-offs. Lender EBITDA: \$39m	Real leverage 7.05×, not 5.0×
Stage 3 — organic growth	Same-branch revenue -4% YoY once acquisitions stripped out; technician attrition 28%	The platform is buying revenue, not growing it
Stage 5 — cash	CFADS \$39 - 6 capex - 3 tax - 1 fee = \$29m vs. fixed charges \$27.5m at SOFR+550: FCCR 1.05× at close, before any stress	Below 1.2× floor
Stage 6 — value	Purchase at 9.5× marketed = 13.4× lender EBITDA; conservative EV 8× × \$39m = \$312m → LTV 88%	Second repayment leg fails
Stage 7 — downside	Housing-linked demand -15%: FCCR ~0.8×, liquidity exhausted in 5 quarters, covenant would trip <i>after</i> runway gone at sponsor's proposed 40% headroom	Unfinanceable at this structure

IC outcome: DECLINED. Recorded rationale for the decline database: "Roll-up with negative organic growth; 38% add-back load; FCCR at 1.05× on day one; LTV ~88% on lender EV. Would revisit at ≤3.5× lender EBITDA with 12 months of integrated performance." Note what the framework did: it converted a deal that *marketed at 5.0× leverage with 2.0× coverage* into its true shape — 7× levered, barely covering, with no value cushion — in four numbers. That conversion is the entire craft.

16 · How the Top Firms Compare · Sources

Firm	Signature emphasis (from their own materials)	Published proof points
Oaktree	Primacy of risk control; contrarian patience; LTV over leverage multiples; restructuring DNA	~3% acceptance; 18-yr MM track record, 300+ deals/\$11bn; own third-party diligence over sponsor's
Golub Capital	Sponsor-finance factory: scale, sector pods, repeat relationships, dedicated workout team	30,000 reviewed / 2,700 closed since 1994; 280+ repeat sponsors; 0.8% default / 0.1% loss p.a. since 2020; ~10% net IRRs since 2004
Blue Owl	Large resilient borrowers; granular portfolios; independent EBITDA; downside-case underwriting	Avg borrower EBITDA > \$200m; ~20bp average positions; 15% sector caps; ~60% equity cushions
Blackstone Credit	Scale origination; seniority and low LTV as the risk model	95%+ senior secured; WA LTV < 50%; 0.08% annualised losses over 20 years
Ares	Covenant discipline; incumbency-driven origination; stable-cash-flow borrowers	"Never underwritten a covenant-lite deal"; founded 2004, largest BDC (ARCC)
Apollo	Large-corporate origination at scale; documentation advantage vs. 95% cov-lite BSL market	Purchase-price-matters culture; maintenance/incurrence covenants + RP restrictions + ECF sweeps standard

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THE FRAMEWORK IN ONE PARAGRAPH

See everything and do almost nothing (3–9% acceptance). Lend to businesses whose revenue survives a recession, on an EBITDA you rebuilt yourself, sized so that stressed cash flow still covers fixed charges (FCCR, not ICR) and conservative enterprise value still covers the loan ($LTV \leq \sim 50\%$, cushion $\sim 60\%$). Write documents that hand you the negotiating table early (maintenance covenant, capped EBITDA definition, leakage blockers). Price for a $\sim 1\%$ through-cycle loss and defend it with monitoring and a real workout capability. Then let the asymmetry of lending do its work: avoid the losers, and the winners take care of themselves.

Prepared July 2026 as part of the Credit Analysis Pack. Companion documents: *Credit Analysis Handbook* (first-principles financial analysis, Meridian Foods worked model) and *IC Risk Supplement Prompt*. All firm data from public sources as cited; composite practices are the author's synthesis and worked examples are illustrative composites, not actual transactions.